WHY EMERGING MARKETS WILL OUTPERFORM DEVELOPED ONES

The idea is simple. The developed world is growing slowly, if at all. The "emerging world"—which includes all sorts of countries in all sorts of different phases of economic development—is growing more quickly.

Over the last four years, for example, there has been no real growth to speak of in the developed world. But China boomed.

This process, most likely, will continue. It doesn't mean that China has to continue growing at such a sizzling pace or that the developed countries will necessarily stay in a slump. It means only that the developed world will continue to underperform the undeveloped world for the foreseeable future.

Why might this be a reliable, long-term trend? Regression to the mean. One region is developed. The other is not. It seems more likely that the undeveloped region will play catch-up than that the developed region will sprint further ahead. Catch-up is easier.

If the developed world is to grow faster, the old dogs in its economies will have to learn some new tricks. But the young dogs in the undeveloped world don't have to. They just have to look at the mutts in the developed world and do what they do. Which is just what we've seen happening over the past 30 years.

The developed countries have heavy industry. So the developing countries put up steel mills and auto plants. The developed world has shopping malls. So they built them in Beijing and Mumbai, too. Developed economies have highways, ports, container shipping, banks, McDonald's, and all the rest of a modern economy's infrastructure and output capacity. The developing countries put them in place, too. The developed world appreciates the role of private property and a court system to sort out problems and markets to set prices and guide production. They now have those things in the developing world, too.

But the trend of faster growth in the developing countries isn't just about imitation. There is something more profound going on.